

STRICTLY CONFIDENTIAL

Seller's Information Memorandum

Acme Cloud Solutions, Inc.

Prepared by: Meridian Capital Advisors

Project Atlas | February 2025

1. Company Overview

Acme Cloud Solutions ('Acme' or the 'Company') is a leading provider of cloud-based Enterprise Resource Planning (ERP) software purpose-built for mid-market manufacturing and distribution companies. Founded in 2014 and headquartered in Austin, TX, the Company has grown to serve over 450 enterprise customers across North America, generating \$42M in Annual Recurring Revenue (ARR) with best-in-class unit economics.

2. Market Opportunity

The mid-market ERP software market represents an \$18 billion total addressable market (TAM), growing at approximately 12% annually. The market is experiencing a secular shift from on-premise to cloud-native solutions, with cloud penetration currently at only 35% in the mid-market segment. Key market dynamics:

- \$18B TAM for mid-market ERP (companies with \$50M-\$1B revenue)
- \$6.3B serviceable addressable market (SAM) — manufacturing & distribution vertical
- \$1.8B serviceable obtainable market (SOM) — cloud-native, North America
- Current market share: approximately 2.3% of SOM
- Cloud adoption CAGR of 18% in mid-market vs. 8% overall ERP market

3. Competitive Landscape

Competitor	Target Market	Deployment	Estimated Revenue	Key Strength
SAP S/4HANA	Enterprise	Hybrid	\$30B+	Incumbent; global scale
Oracle Fusion	Enterprise	Cloud	\$12B+	Database integration
NetSuite (Oracle)	SMB/Mid-Market	Cloud	\$2.5B	Broad functionality
Epicor Kinetic	Mid-Market Mfg	Hybrid	\$1.0B	Manufacturing depth
Infor CloudSuite	Mid-Market	Cloud	\$3.3B	Industry-specific
Acme Cloud	Mid-Market Mfg	Cloud-native	\$42M	Modern UX; fast deploy

Acme's competitive advantage lies in its cloud-native architecture (vs. legacy lift-and-shift), rapid 90-day implementation timeline (vs. 12-18 months for SAP/Oracle), and purpose-built manufacturing workflows. Customer win rates against incumbents have improved from 22% in 2022 to 38% in 2024.

4. Management Team

Name	Title	Tenure	Background	Equity %
David Chen	CEO & Co-Founder	10 years	Product at SaaS prior SaaS co for \$85M	18%
Sarah Kim	CTO & Co-Founder	10 years	Sr. Director Engineering at Oracle; MIT CS	14%
Marcus Rivera	CEO	8 years	CEO at 2 PE-backed SaaS exits (\$200M+, \$450M)	4%
Lisa Park	VP Sales	4 years	Regional VP at Salesforce; built \$50M ARR team	3%
James Wright	VP Customer Success	5 years	VP CS at HubSpot; reduced churn by 40%	2%
Rachel Foster	VP Engineering	2 years	Staff Engineer at Google Cloud; 15 yrs exp	2%

Key Person Risk: CTO Sarah Kim holds critical architectural knowledge of the platform's multi-tenant infrastructure. While VP Engineering Rachel Foster has been onboarded to share this knowledge, a transition plan has not been formally documented. Both founders have indicated willingness to enter 2-year post-close employment agreements with appropriate incentive structures.

5. Go-to-Market Strategy

The Company employs a hybrid direct sales and channel partner model:

- Direct sales team: 22 AEs generating ~\$1.9M ARR per rep
- Channel partners: 8 certified implementation partners driving 25% of new logos
- Inbound marketing: 45% of qualified pipeline from content/SEO/events
- Average deal size: \$93K ACV (up from \$72K in FY2022)
- Sales cycle: 4.2 months average (down from 5.8 months in FY2022)
- Win rate: 38% on competitive deals (up from 22% in FY2022)
- CAC: \$62K blended (\$85K direct, \$38K channel)
- LTV/CAC: 5.2x (industry benchmark: 3.0x+)

6. Value Creation Opportunities

Identified growth levers for a new ownership platform:

- Product: AI-powered demand forecasting module (beta Q2 2025, \$8K ACV uplift)
- Geographic: European expansion (\$4B addressable market, zero presence today)
- Pricing: Usage-based pricing tier for high-volume customers (est. +15% ARPU)
- M&A,: 3 identified bolt-on targets in adjacent verticals (food & bev, chemicals)
- Channel: Expand from 8 to 20+ implementation partners by FY2027
- Product: Mobile-first field operations module (customer #1 request)

7. Customer Case Studies

Midwest Precision Parts (\$180M revenue, 800 employees)

Challenge: Replaced legacy on-premise ERP (Epicor Vantage) that required 3 FTEs to maintain. Solution: Implemented Acme's full platform in 82 days. Results: Reduced order-to-cash cycle from 45 days to 28 days, eliminated \$240K/year in IT maintenance costs, achieved 99.97% system uptime. Annual contract value: \$210K. Customer since 2021.

Pacific Coast Distributors (\$95M revenue, 350 employees)

Challenge: Managing inventory across 6 warehouses with spreadsheets and a legacy system. Solution: Deployed Acme's supply chain and inventory modules. Results: Reduced stockouts by 62%, improved inventory turnover from 4.2x to 6.8x, saving \$1.2M annually in carrying costs. Annual contract value: \$145K. Customer since 2022. Expanded to workforce module in 2024.